

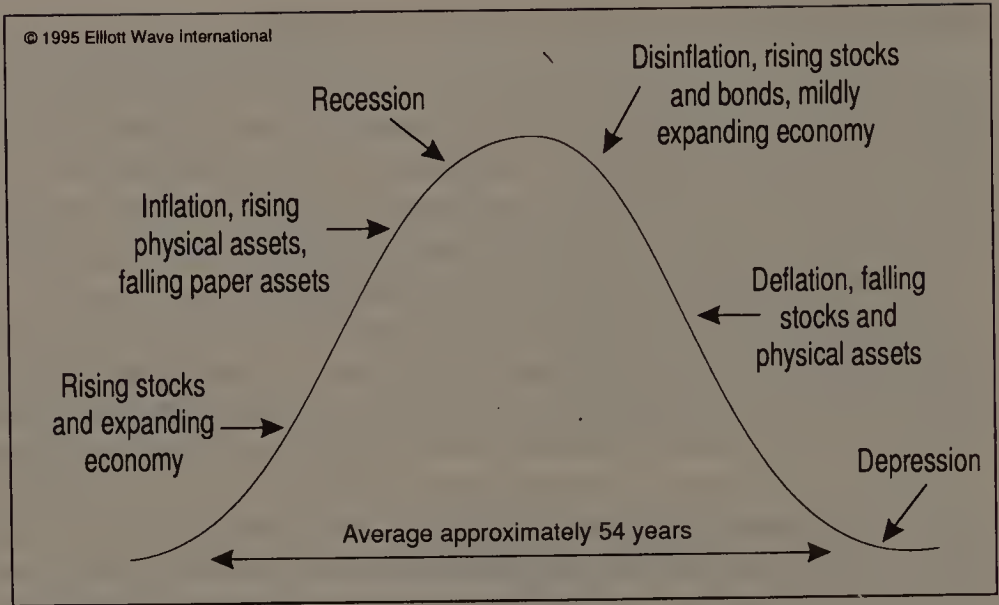


Figure B-1

activity. Debt liquidation takes place over several years, and the economy “resets” for the next cycle. The idealized Kondratieff cycle is depicted in Figure B-1.

Analytical History

Elliott Wave Principle showed an idealized diagram of the Kondratieff cycle and concluded as follows:

As we interpret the Kondratieff cycle, we have now reached another plateau, having had a trough war (World War II), a peak war (Vietnam), and a primary recession (1974-75). This plateau should again be accompanied by relatively prosperous times and a strong bull market in stocks. The economy should [then] collapse in the mid-1980s, and be followed by three or four years of severe depression and a long period of deflation through to the trough year 2000.

Unfortunately, A.J. Frost and I had taken the original version of Figure B-2 from Kondratieff cycle experts at face value. As we later realized, those experts had little confidence in the cycle’s precision, as their diagram showed the previous low in the late 1930s, a scant 40 years after the preceding trough of 1896. The depression of the 1930s appeared to most interpreters as the defining factor, even though it made the preceding cycle too short. Their error stemmed